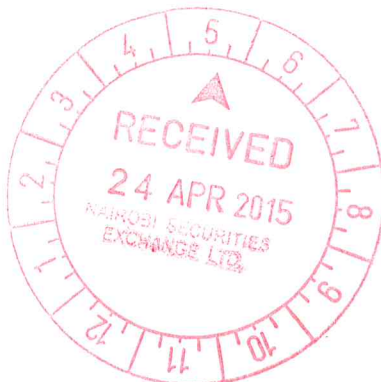


British-American Investments Company (Kenya) Limited

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P.O Box 30375-00100 Nairobi, Kenya
Tel: (020) 2833000/0703 094000
Fax: (020) 2717625
Email: britam@britam.co.ke
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24th April, 2015

Mr. Geoffrey Odundo
Chief Executive Officer
N.S.E.
55 Westlands Road,
P O Box 43633 - 00100
Nairobi
KENYA



Dear Sir,

BRITISH-AMERICAN INVESTMENTS COMPANY (K) LIMITED
GROUP FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

We are pleased to enclose the following:

1. The revised audited Financial Statements of British-American Group for the year ended 31 December, 2014 together with disclosures on the earnings per share.
2. The statement on cash flows and changes in equity for the same period.
3. The financial statements for publication.

Yours faithfully,

British-American Investments Co. (K) Ltd

Nancy Kiruki
Group Company Secretary
Encls.

Pensions
Insurance
Asset Management
Property

FINANCIAL RESULTS FOR THE YEAR ENDED 31ST DECEMBER 2014

The Board of Directors hereby announce the revised audited consolidated financial results.

The Group's 2014 financial statements were published on 20 March 2015 after the due external audit process resulted in an unqualified opinion from the auditors of the holding company, PricewaterhouseCoopers and from Deloitte, the auditors of British-American Insurance Company (Kenya) Limited. Subsequently and after the announcement and publication of the results, the auditors advised the Board of an issue with respect to the measurement of the carrying value of a local associate company in the financial statements of the insurance company. Given the Group's commitment to excellence and prudence, the Board has considered the advice and restated the financial statements resulting in a reduction in the previously reported profit after tax by Shs 342 million. This change does not affect the proposed dividend for the year.

PERFORMANCE AND STRATEGY OVERVIEW

The Group sustained high performance in the year 2014 against 2013

- Comprehensive income of Shs 6.0 billion, growth of 64.7% from Shs 3.7 billion
- Core business revenue of Shs 14.7 billion from Shs 9.5 billion, a 55.8% growth
 - Revenue for the insurance business in the Group of Shs 14.0 billion compared to Shs 8.8 billion, a growth of 58.8%
 - Regional subsidiaries contribution to revenue grew 436.0% to Shs 1.6 billion from Shs 294.0 million attributable to organic growth and business acquisition
 - Asset management revenue of Shs 696.1 million compared to Shs 613.5 million, a growth of 13.5%
- Investment income of Shs 7.6 billion, a growth of 19.4% from Shs 6.3 billion
- Asset base of Shs 72.5 billion, a growth of 54.4% from Shs 46.9 billion
- Off balance sheet Assets Under Management (AUM) of Shs 54.5 billion, a growth of 50.3% from Shs 36.3 billion

The Group continued to implement its growth and diversification strategy of increased local and regional presence, innovative product offering, IT enabled business transformation and capacity enhancement. To fund our strategy, we successfully raised Shs 6.0 billion through a corporate bond. The issue was a great success achieving a subscription rate of 247%, a sign of the confidence investors have in Britam.

The only change in accounting method relates to the introduction of deferred tax on life fund surplus. This resulted in restatement of prior year balances.

DIVIDEND

The Board of Directors recommends the payment of a dividend of 30 cents (2013: 25 cents) per share amounting to Shs 581.5 million (2013: Shs 472.9 million).

Consolidated income statement

	2014 Shs'000	Restated 2013 Shs'000
Revenue		
Gross earned premium	14,045,772	8,847,166
Less: reinsurance premium ceded	(2,253,610)	(1,095,967)
Net earned premium	11,792,162	7,751,199
Fund management fees	696,056	613,511
Net income from investment property	782,237	1,059,524
Interest and dividend income	2,538,051	1,699,939
Net realised gains on financial assets	156,983	232,727
Net unrealised fair value gains on financial assets at fair value through profit or loss	4,102,165	3,355,542
Commissions earned	620,217	370,520
Other income	4,464	47,096
Total revenue	20,692,335	15,130,058
Expenses		
Insurance claims and loss adjustment expenses	3,975,798	3,270,310
Less: amount recoverable from reinsurers	996,192	(293,259)
Change in actuarial value of policyholder benefits	3,051,301	1,925,007
Net insurance benefits and claims	8,023,291	4,902,058
Interest payments/increase in unit value	2,035,986	2,204,587
Operating and other expenses	4,616,406	3,210,990
Finance costs	350,290	-
Commissions payable	2,712,987	1,873,285
Total expenses	17,738,960	12,190,920
Profit before share of the profit of the associate	2,953,375	2,939,138
Share of profit of the associates accounted for using the equity method	259,007	181,685
Profit before tax	3,212,382	3,120,823
Income tax expense	(714,504)	(805,375)
Profit for the year	2,497,878	2,315,448
Profit attributable to:		
-Owners of the parent	2,501,489	2,315,448
-Non-controlling interests	(3,611)	-
Dealt with in the accounts of the Company	1,847,641	1,278,740
Earnings per share for profit attributable to the owners of the parent during the year		
- basic and diluted (Shs per share)	1.31	1.21

Consolidated statement of comprehensive income

	2014 Shs'000	Restated 2013 Shs'000
Profit for the year	2,497,878	2,315,448
Other comprehensive income items, net of tax:		
Items that will not be reclassified to profit or loss		
Gains on revaluation of land and buildings	22,478	21,793
Gains on revaluation of financial assets at fair value through other comprehensive income	3,627,865	1,306,288
Re-measurement of the net defined benefit asset	8,090	9,986
Total items that will not be reclassified to profit or loss	3,658,433	1,338,067
Items that may be subsequently reclassified to profit or loss		
Share of other comprehensive income from associates accounted for using the equity method	26,568	-
Currency translation differences	(169,566)	(2,954)
Total items that may be subsequently reclassified to profit or loss	(142,998)	(2,954)
Total other comprehensive income	3,515,435	1,335,113
Total comprehensive income for the year attributable to the owners of the parent	6,013,313	3,650,561
Attributable to:		
-Owners of the parent	6,016,924	3,650,561
-Non-controlling interests	(3,611)	-

Consolidated statement of financial position

	2014 Shs'000	Restated 2013 Shs'000	Restated 01 Jan 2013 Shs'000
CAPITAL EMPLOYED			
Share capital	193,841	189,145	189,145
Share premium	4,263,412	3,164,455	3,164,455
Other reserves	12,883,266	8,479,891	4,117,103
Retained earnings	3,478,012	2,445,988	2,900,342
Proposed dividend	581,525	472,863	472,863
Shareholders' funds	21,400,056	14,752,342	10,843,908
Non-controlling interests	39,616	-	-
Total equity	21,439,672	14,752,342	10,843,908
REPRESENTED BY:			
Assets			
Property and equipment	1,328,866	1,163,280	948,236
Intangible assets	1,286,293	134,629	113,817
Investment in associates	4,863,345	1,867,081	1,459,826
Goodwill	1,548,262	-	-
Investment property	5,604,555	3,782,181	1,706,057
Investment in property funds	821,979	-	-
Quoted ordinary shares at fair value through other comprehensive income	9,910,525	6,109,614	4,937,396
Financial assets at fair value through profit or loss:			
- quoted ordinary shares	11,553,812	7,632,998	6,084,290
- unquoted ordinary shares	5,842	3,770	54,009
- unit trusts	7,117,166	8,066,022	6,064,687
- corporate bonds	-	-	176,562
- government securities	2,495,215	565,093	28,253
Corporate bonds at amortised cost	1,397,713	591,920	508,358
Government securities at amortised cost	8,887,987	8,166,134	6,685,780
Mortgage loans and receivables	864,753	793,815	812,022
Loans and receivables to policy holders	488,084	376,778	309,455
Receivables arising out of reinsurance arrangements	930,097	81,228	48,912
Receivables from direct insurance arrangements	2,505,367	1,053,931	540,599
Reinsurers' share of insurance liabilities	2,273,207	2,410,417	2,396,262
Deferred acquisition costs	355,352	180,389	131,274
Deferred income tax	168,290	5,255	4,198
Current income tax	173,832	83,042	32,240
Other receivables	955,858	626,201	386,205
Retirement benefit asset	72,767	186	-
Investment in liquid funds	1,196,323	1,161,326	-
Deposits with financial institutions	4,594,079	1,430,092	1,975,913
Cash and bank balances	1,050,785	617,196	415,814
Total assets	72,450,354	46,902,578	35,820,165
Liabilities			
Insurance contract liabilities	16,146,162	12,416,237	10,670,941
Payable under deposit administration contracts	11,201,557	8,109,075	5,787,072
Liabilities under investment contracts	6,603,982	6,414,370	4,845,527
Unearned premium	5,210,776	1,889,452	1,292,195
Creditors arising from reinsurance arrangements	847,016	107,709	183,861
Creditors arising from direct insurance arrangements	51,190	-	-
Retirement benefit liability	-	-	14,080
- Britam 2014 medium term note	6,000,000	-	-
- Bank loan	200,000	-	-
- Interest payable	350,290	-	-
Deferred income tax	2,765,973	1,903,387	1,424,686
Other payables	1,633,431	958,913	636,282
Bank overdraft	-	116,691	46,810
Current income tax	305	234,402	74,803
Total liabilities	51,010,682	32,150,236	24,976,257
Net assets	21,439,672	14,752,342	10,843,908

Consolidated statement of changes in equity

Year ended 31 December 2013	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000
At start of year as previously stated	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324
Prior year adjustments	-	-	(1,628,416)	-	-	(1,628,416)
Start of the year as restated	189,145	3,164,455	4,117,103	2,900,342	472,863	10,843,908
Transfer of reserves on adoption of IFRS 9	-	-	568,850	(614,074)	-	(45,224)
Comprehensive income						
Profit for the year	-	-	-	2,315,448	-	2,315,448
Other comprehensive income, net of tax	-	-	1,335,113	-	-	1,335,113
Total comprehensive income for the year	-	-	1,335,113	2,315,448	-	3,650,561
Transfer to other reserves	-	-	1,305,965	(1,305,965)	-	-
Transactions with owners						
Proceeds from sale of treasury shares	-	-	752,860	-	-	752,860
Capitalisation of reserves by subsidiary	-	-	400,000	(400,000)	-	-
Dividends:						
- Final for 2012	-	-	-	23,100	(472,863)	(449,763)
- Proposed final for 2013	-	-	-	(472,863)	472,863	-
Total transactions with owners	-	-	1,152,860	(849,763)	-	303,097
At end of year	189,145	3,164,455	8,479,891	2,445,988	472,863	14,752,342

Consolidated statement of changes in equity (Cont....)

Year ended 31 December 2014	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
At start of year as previously stated	189,145	3,164,455	10,324,005	2,784,329	472,863	16,934,797	-	16,934,797
Prior period adjustment	-	-	(1,844,114)	(338,341)	-	(2,182,455)	-	(2,182,455)
Start of the year as restated	189,145	3,164,455	8,479,891	2,445,988	472,863	14,752,342	-	14,752,342
Comprehensive income								
Profit for the year	-	-	-	2,501,489	-	2,501,489	(3,611)	2,497,878
Other comprehensive income, net of tax	-	-	3,515,435	-	-	3,515,435	-	3,515,435
Unrealised gains transfer on reclassification of assets held at fair value through other comprehensive income to assets held at fair value through profit or loss	-	-	(147,469)	147,469	-	-	-	-
Total comprehensive income for the year	-	-	3,367,966	2,648,958	-	6,016,924	(3,611)	6,013,313
Transfer to other reserves	-	-	1,035,409	(1,035,409)	-	-	-	-
Transactions with owners								
Issue of shares related to business combination	4,696	1,098,957	-	-	-	1,103,653	-	1,103,653
Minority interests at date of acquisition	-	-	-	-	-	-	43,227	43,227
Dividends:								
- Final for 2013	-	-	-	-	(472,863)	(472,863)	-	(472,863)
- Proposed final for 2014	-	-	-	(581,525)	581,525	-	-	-
Total transactions with owners of the parent recognised directly in equity	4,696	1,098,957	-	(581,525)	108,662	630,790	43,227	674,017
At end of year	193,841	4,263,412	12,883,266	3,478,012	581,525	21,400,056	39,616	21,439,672

Consolidated statement of cash flows

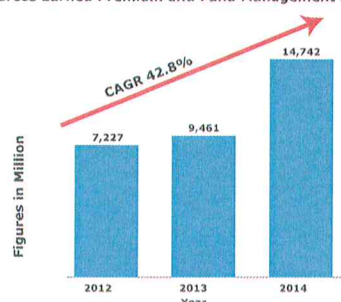
	2014 Shs'000	2013 Shs'000
Operating activities		
Cash generated from operations	4,143,359	2,271,998
Income tax paid	(786,588)	(392,823)
Net cash generated from operating activities	3,356,771	1,879,175
Investing activities		
Sale of treasury shares	-	752,861
Purchase of property and equipment	(510,329)	(310,691)
Purchase of intangible assets	(1,207,271)	(45,507)
Investment in associate	(2,783,850)	(288,012)
Purchase of Real Insurance Company Limited	(838,857)	-
Settlement of loan	621,358	-
Purchase of investment property	(1,020,640)	(1,080,031)
Purchase in property funds	(892,117)	-
Disposal quoted shares at fair value through other comprehensive income	-	481,138
Purchase of quoted shares at fair value through profit or loss	(962,703)	(193,423)
Disposal of quoted ordinary shares at fair value through profit or loss	737,426	299,031
Purchase of unquoted ordinary shares at fair value through profit or loss	(2,072)	(251)
Net investment in unit trusts at fair value through profit or loss	1,863,861	(397,408)
Net investment in corporate bond at amortised cost	(805,793)	(83,562)
Net investment in government securities at fair value through profit or loss	(1,913,319)	(142,999)
Net investment in government securities at amortised cost	(721,853)	(1,718,651)
Mortgage loans and receivables advanced	(159,921)	(168,012)
Mortgage loans and receivables repayments	157,680	169,957
Policy loans and receivables advanced	(429,130)	(306,912)
Policy loans repayments and receivables	316,716	239,589
Dividends received from equity investments at fair value through profit or loss	360,585	289,465
Dividends received from equity investments at fair value through other comprehensive income	270,697	257,071
Rent and interest received	2,584,888	1,564,568
Net cash used in investing activities	(5,334,644)	(681,779)
Cash flows from financing activities		
Dividends paid	(472,863)	(449,763)
Britam 2014 medium term note	6,000,000	-
Bank loan	200,000	-
Interest paid	-	(627)
Net cash used in financing activities	5,727,137	(450,390)
Net increase/ (decrease) in cash and cash equivalents	3,749,264	747,006
At start of year	3,091,923	2,344,917
At end of year	6,841,187	3,091,923

BRITISH-AMERICAN INVESTMENTS COMPANY (KENYA) LIMITED

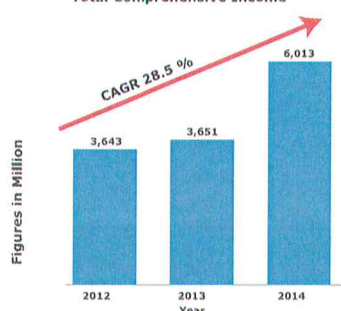
AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

The Board of Directors is pleased to announce the audited consolidated results for the Group for the year ended 31 December 2014

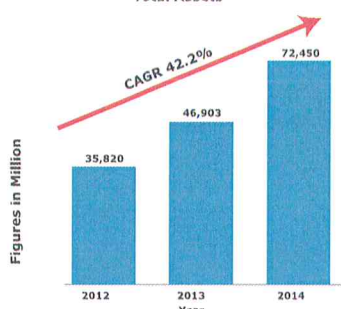
Gross Earned Premium and Fund Management Fee



Total Comprehensive Income



Total Assets



CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	31 Dec 2014	Restated 31 Dec 2013
	Shs'000	Shs'000
Gross written premiums and fund management fees	19,100,779	12,935,279
Gross earned premiums and fund management fees	14,741,828	9,460,677
Less: reinsurance premium ceded	(2,253,610)	(1,095,967)
Net earned revenue	12,488,218	8,364,710
Investment income	7,579,436	6,347,732
Commissions earned	620,217	370,520
Other income	4,464	47,096
Total Revenue	20,692,335	15,130,058
Expenses		
Net insurance claims and loss adjustment expenses	8,023,291	4,902,058
Interest payments increase in unit value	2,035,986	2,204,587
Operating and other expenses	4,616,406	3,210,990
Finance costs	350,290	-
Commissions payable	2,712,987	1,873,285
Total Expenses	17,738,960	12,190,920
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Profit after tax	2,497,878	2,315,448
Gains on revaluation of financial assets at fair value through other comprehensive income	3,627,865	1,306,288
Others	(112,430)	25,825
Other comprehensive income	3,515,435	1,335,113
Comprehensive income for the period	6,013,313	3,650,561
Basic and diluted Earnings per Share (Kshs per share)	1.31	1.21

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31 Dec 2014	Restated 31 Dec 2013	Restated 1 Jan 2013
Figures in Shs'000			
Share capital	193,841	189,145	189,145
Share premium	4,263,412	3,164,455	3,164,455
Other reserves	12,883,266	8,479,891	4,117,103
Retained earnings	3,478,012	2,445,988	2,900,342
Proposed dividend	581,525	472,863	472,863
Shareholders' funds	21,400,056	14,752,342	10,843,908
Non-controlling interest	39,616	-	-
Total equity	21,439,672	14,752,342	10,843,908
Represented by:			
Assets			
Fixed assets	2,615,159	1,297,910	1,062,053
Investment assets	55,559,238	37,955,407	28,831,770
Insurance assets	5,708,671	3,545,577	2,985,773
Cash and cash equivalent	8,841,187	3,208,613	2,391,727
Other assets	1,726,099	895,071	548,842
Total assets	72,450,354	46,902,578	35,820,165
Liabilities			
Insurance liabilities	40,060,683	28,936,844	22,779,596
Corporate bond	6,000,000	-	-
Other liabilities	4,949,999	3,213,392	2,196,661
Total liabilities	51,010,682	32,150,236	24,976,257
Net assets	21,439,672	14,752,342	10,843,908

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STATEMENT FROM THE DIRECTORS

The Statement of Comprehensive Income and Statement of Financial Position are extracts of the audited financial report of the Group.

Amb. Dr. Francis K. Muthaura
Chairman

Dr. Benson I. Wairegi
Group Managing Director